

Merck & Co., Inc.

Recommendation **BUY** ★★★★★

Price USD 102.67 [as of market close Oct 20, 2023] **12-Mo. Target Price** USD 124.00 **Report Currency** USD **Investment Style** Large-Cap Blend

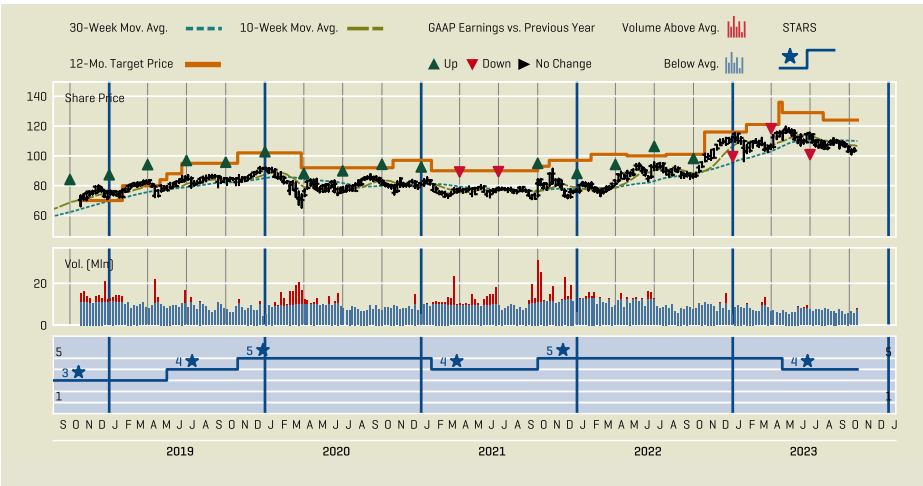
Equity Analyst Sel Hardy

GICS Sector Health Care **Sub-Industry** Pharmaceuticals **Summary** Merck is one of the world's leading biopharmaceutical companies, as well as a producer of vaccines and animal health medications.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence [SPGMI], Company Reports)

52-Wk Range	USD 119.65 - 92.36	Oper.EPS2023E	USD 2.96	Market Capitalization[B]	USD 260.53	Beta	0.35
Trailing 12-Month EPS	USD 2.81	Oper.EPS2024E	USD 8.39	Yield [%]	2.84	3-yr Proj. EPS CAGR[%]	49
Trailing 12-Month P/E	36.54	P/E on Oper.EPS2023E	34.69	Dividend Rate/Share	USD 2.92	SPGMI's Quality Ranking	B+
USD 10K Invested 5 Yrs Ago	17,340.0	Common Shares Outstg.[M]	2,539.00	Trailing 12-Month Dividend	USD 2.92	Institutional Ownership [%]	78.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Sel Hardy** on Sep 05, 2023 12:41 PM ET, when the stock traded at **USD 108.59**.

Highlights

- Q2 revenues of \$15B, up 3% Y/Y, were higher than estimates due to higher-than-anticipated sales from the key oncology drug Keytruda [42% of total, +19% Y/Y] across all indications and the HPV vaccine Gardasil [16% of total, +47% Y/Y]. In line with expectations, Lagevrio [antiviral to treat Covid-19] sales continued their sharp Y/Y decline [-82% Y/Y] due to lower demand. The 1% Y/Y revenue decline in Animal Health [10% of total sales] was slightly above our expectations as livestock underperformed this quarter [-2% Y/Y].
- In June 2023, MRK completed the acquisition of the smaller rival Prometheus Biosciences in an all-cash deal valued at \$10.8B. The deal boosts MRK's immunology portfolio and increases its research capabilities. We also see strength in MRK's cardiology and oncology portfolios, and the possibility of extending the use of Keytruda and Lynparza for a wider set of indications in oncology is a plus. Also, MRK's joint venture with Moderna offers longer-term potential for individualized cancer treatment.
- In July, Merck upgraded its 2023 revenue guidance, which now stands in the range of \$58.6B-\$58.9B. We now expect MRK sales to be roughly flat Y/Y [+0.1%] vs. a 0.4% decline earlier.

Investment Rationale/Risk

- Our opinion is Buy, following Q2 earnings. While we anticipate a more challenging second half of the year and revised our estimates accordingly, starting in 2024 we think Merck will be well positioned again for healthier growth. We also expect to see more visible contributions in 2024 from the recent acquisition of Prometheus Bioscience, which closed in June. We see the recent pullback seen since the end of June as a buying opportunity. Near term, we think MRK will also continue to benefit from the November 2021 acquisition of Acceleron Pharma [AXLN]. Adding AXLN boosted MRK's presence in the expanding cardiovascular disease treatment market, in our view.
- Risks to our view and target include R&D pipeline failures, lower-than-expected market share for Keytruda and vaccines, and the potential for unfavorable U.S. regulations on drug prices.
- Our 12-month target of \$124, 14.8x our 2024 EPS view, is a discount to MRK's 10-year historical forward P/E average. We continue to find MRK is attractive at current valuations and think the recently announced Prometheus acquisition will likely accelerate the firm's immunology pipeline.

Analyst's Risk Assessment

LOW MEDIUM HIGH

MRK is subject to intense competition for treatment market share from other brand-name drugs. It also faces risks from generic and biosimilar makers that market copies of brands by challenging their patents in court and flood the market once patents expire. MRK also has risks associated with drug failures in clinical trials, regulatory approval hurdles, and the potential for unfavorable pricing and patent regulations handed down by the government. These risks are balanced by MRK's valuable franchises in immuno-oncology and vaccines, where its drugs experience persistent demand due to industry-leading effectiveness.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 14,906	E 15,050	E 16,008	E 15,400	E 61,364
2023	14,487	15,035	E 15,130	E 14,675	E 59,327
2022	15,901	14,593	14,959	13,830	59,283
2021	10,627	11,402	13,154	13,521	48,704
2020	12,057	10,872	10,929	10,948	41,518
2019	10,816	11,760	12,397	11,868	46,840

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 1.96	E 2.06	E 2.29	E 2.08	E 8.39
2023	1.40	-2.06	E 1.92	E 1.70	E 2.96
2022	2.14	1.87	1.85	1.62	7.48
2021	1.40	1.31	1.75	1.80	6.02
2020	1.50	1.37	1.74	1.32	5.94
2019	1.22	1.30	1.51	1.16	5.19

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.7300	Jul 25	Sep 14	Sep 15	Oct 06 '23
0.7300	May 23	Jun 14	Jun 15	Jul 10 '23
0.7300	Jan 24	Mar 14	Mar 15	Apr 10 '23
0.7300	Nov 29	Dec 14	Dec 15	Jan 09 '23

Dividends have been paid since 1971. Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



Merck & Co., Inc.

Business Summary Sep 05, 2023

CORPORATE OVERVIEW. Merck & Co. (MRK) is a leading global drugmaker, producing a wide range of prescription drugs and vaccines in many therapeutic areas in the U.S. and abroad. The U.S. is MRK’s largest market, accounting for 46% of total revenue of \$59.3B in 2022.

MRK’s top-selling products include Keytruda (cancer, 35% of 2022 sales); Gardasil (HPV vaccine, 12%); Molnupiravir (oral Covid treatment, 10%); and Januvia/Janumet (type 2 diabetes, 7.6%).

In addition to human pharmaceuticals and vaccines, MRK also has an Animal Health segment (9.4% of 2022 sales), divided into Livestock (5.6%) and Companion animal (3.8%) sub-segments. Animal Health develops and markets pharmaceutical and vaccine products for the prevention, treatment, and control of disease in all major livestock and companion animal species.

KEYTRUDA. MRK’s top-selling drug, Keytruda, has been the primary driver behind its earnings growth since 2015. The cancer drug was first approved by the FDA in September 2014 as a second-line treatment (after a first treatment option has failed) for melanoma. MRK has held a long-standing strategy of expanding the indications of Keytruda into the more lucrative first-line treatment setting, where more prescriptions are written, and into cancers with the largest patient populations. MRK has been very successful with this strategy, as Keytruda has gained approval for a broad range of cancer indications, several of which are in the first-line treatment setting. As of March 2021, Keytruda’s FDA approved indications included, among others: first-line treatment of non-small cell lung cancer (NSCLC) in combination with chemotherapy; as a single agent, first-line treatment of NSCLC for patients with a specific tumor expression; second-line treatment of head and neck squamous cell cancer; second-line treatment of cervical cancer; and second-line treatment of hepatocellular (liver) cancer.

Keytruda gained its first-line NSCLC indication in 2018, and due to lung cancer being the second-most common type of cancer, this achievement was a major milestone for the drug. Keytruda’s success in indication expansion has fueled tremendous sales growth, to \$21B in 2022 from \$566M in 2015. Keytruda gained additional first-line indications throughout 2020 from the FDA, the European Commission, and the Japanese Ministry of Health, including for renal cell carcinoma (kidney cancer) and head and neck cancer. Keytruda also has ongoing phase 3 clinical trials for many other types of cancers that are likely to continue driving robust growth for several years. These include phase 3 trials for breast, prostate, and colorectal cancers, which are among the top five most common types of cancer, but all behind lung cancer in terms of frequency.

One drag on Keytruda’s future sales growth will be the outcome of a patent dispute related to the drug’s biological formulation. In January 2017, MRK entered into a settlement and license agreement to resolve worldwide patent infringement litigation related to Keytruda. Pursuant to the settlement, the company will pay royalties of 6.5% on net sales of Keytruda through 2023; and 2.5% on net sales of Keytruda in 2024 through 2026 to Bristol-Myers Squibb and its development partner, Ono.

MARKET PROFILE. Worldwide total prescription drug sales are projected to grow at a compound annual growth rate (CAGR) of 7.5% during the 2020-2026 period, according to forecasts from EvaluatePharma, and reach \$1.4 trillion dollars by 2026. A key driver of this growth should be the aging of developed populations, especially in the U.S., as baby boomers age into their prime years for health care needs. Emerging markets will likely see materially faster growth in prescription sales than developed markets through 2026, however. This is due, in our view, to emerging market demand for pharmaceuticals being spurred by rising standards of living as global middle classes expand and gain access to advanced health care, and as these developing markets’ governments increase their spending on health care.

DRUG PRICING NEGOTIATIONS: The first list of 10 top-selling prescription drugs subject to negotiations with Medicare was announced by the Centers for Medicare & Medicaid Services (CMS) on August 29, 2023. Januvia, manufactured by Merck to treat diabetes, is on the list. During June 2022-May 2023, Medicare Part D spending on Januvia was at \$4.1B. Januvia’s patent protection is expected to last until 2026. Merck will need to decide by October 1 whether it will join the negotiations. Next, the CMS will start the negotiation period in February 2024 by sending an initial offer to the drug companies who agreed to negotiate for each drug on the list. Companies will then have 30 days to accept or counter the offer. The negotiation period is expected to end by August 1, 2024, after which, the CMS will publish the maximum fair price for each selected drug on September 1. The revised pricing will take effect in January 2026. MRK is one of the six firms challenging the IRA’s drug pricing provision in court.

FINANCIAL TRENDS. Total revenue grew to \$59.3B in 2022 from \$40.1B in 2017, for a five-year CAGR of 8%. R&D expenses totaled \$13.5B in 2022, or 23% of sales, down from 32% of sales in 2020. Yet, MRK has been acquiring new R&D assets (i.e., acquisitions of clinical-stage biopharmaceutical companies, Peloton Therapeutics, purchased in 2019 for \$993M, and VelosBio, acquired in 2020 for \$2.7B) and incurring higher expenses for clinical and early drug development and discovery research. Adjusted EPS has increased to \$7.48 in 2022 from \$3.98 in 2017, representing a five-year CAGR of 13%.

A decade ago, MRK’s relatively faster growth in adjusted EPS than revenue had been partly a function of its share repurchasing activity. However, share buybacks peaked in 2018 at \$9.1B, and were nonexistent in 2022. To some degree, the reticence for buybacks was fueled by the onset of the pandemic, but 2019 buybacks [\$4.8B] were already far below 2018 levels. MRK has signaled a preference to use its war chest for business development needs first, but did say in February 2023 that it plans to resume buybacks. MRK is conservatively capitalized, in our view, with net debt-to-trailing EBITDA of just 0.7x as of December 31, 2022.

Corporate information

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Officers
Chairman, President & CEO R. M. Davis
Executive VP & General Counsel J. L. Zachary
Executive VP & CFO C. Litchfield

Board Members
C. E. Seidman P. F. Russo
D. M. Baker P. J. Craig
I. G. Thulin R. J. Lavizzo-Mourey
K. J. Warden R. M. Davis
M. E. Coe S. L. Mayo
P. B. Rothman T. H. Glocer
P. C. Wendell

Domicile New Jersey
Auditor PricewaterhouseCoopers LLP

Founded
1891

Employees
68,000

Stockholders
95,850

Merck & Co., Inc.

Quantitative Evaluations					
Fair Value Rank	1	2	3	4	5
LOWEST HIGHEST Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).					
Fair Value Calculation	USD 92.46	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that MRK is overvalued by USD 10.21 or 9.94%			
Volatility	LOW		AVERAGE		HIGH
Technical Evaluation	BULLISH	Since August, 2023, the technical indicators for MRK have been BULLISH"			
Insider Activity	UNFAVORABLE		NEUTRAL		FAVORABLE

Expanded Ratio Analysis				
	2022	2021	2020	2019
Price/Sales	4.76	3.99	5.01	6.00
Price/EBITDA	11.58	11.43	18.98	17.11
Price/Pretax Income	17.15	14.01	35.45	32.72
P/E Ratio	14.83	12.73	13.77	17.52
Avg. Diluted Shares Outstg. [M]	2,542.00	2,538.00	2,541.00	2,580.00
Figures based on fiscal year-end price				
Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		11.27	13.83	43.40
Sales		21.72	14.86	8.12
Ratio Analysis (Annual Avg.)				
Net Margin [%]		24.49	22.77	21.63
% LT Debt to Capitalization		36.83	40.68	40.57
Return on Equity [%]		34.46	30.29	26.45

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	1.78	-2.38	-3.03	-3.04	-1.80	0.69	1.68	1.56	5.38	4.67
Free Cash Flow	5.81	3.82	2.30	3.93	3.12	1.67	3.17	4.00	1.96	3.41
Earnings	5.71	4.86	1.78	2.21	2.32	0.87	1.41	1.56	4.07	1.47
Earnings (Normalized)	7.48	6.02	5.94	5.19	4.34	3.98	3.78	3.59	3.49	3.49
Dividends	2.76	2.60	2.44	2.20	1.92	1.88	1.84	1.80	1.76	1.72
Payout Ratio [%]	48.30	50.66	87.94	57.86	83.15	216.00	131.00	115.00	43.37	117.00
Prices: High	112.89	91.40	92.14	92.64	80.19	66.80	65.46	63.62	62.20	50.42
Prices: Low	72.88	70.89	65.25	72.05	52.83	53.63	47.97	45.69	49.30	40.02
P/E Ratio: High	15.10	15.20	15.50	17.80	18.50	16.80	17.30	17.70	17.80	14.40
P/E Ratio: Low	9.70	11.80	11.00	13.90	12.20	13.50	12.70	12.70	14.10	11.50
Income Statement Analysis [Million USD]										
Revenue	59,283	48,704	41,518	39,121	42,294	40,122	39,807	39,498	42,237	44,033
Operating Income	20,565	13,893	7,735	10,638	10,102	8,001	10,071	8,663	9,347	9,257
Depreciation + Amortization	3,789	3,123	3,218	3,077	4,520	4,616	5,244	6,201	5,791	6,411
Interest Expense	962.00	806.00	831.00	893.00	772.00	754.00	693.00	672.00	732.00	801.00
Pretax Income	16,444	13,879	5,863	7,171	8,701	6,521	4,659	5,401	17,283	5,545
Effective Tax Rate	11.70	11.00	22.90	21.80	28.80	62.90	15.40	17.40	30.90	18.50
Net Income	14,519	13,049	7,067	9,843	6,220	2,394	3,920	4,442	11,920	4,404
Net Income [Normalized]	12,621	8,163	4,339	6,307	6,051	4,869	6,054	5,171	5,667	5,479
Balance Sheet and Other Financial Data [Million USD]										
Cash	13,192	8,096	8,051	10,450	8,864	8,498	14,341	13,427	15,719	17,486
Current Assets	35,722	30,266	27,764	27,483	25,875	24,766	30,614	29,751	32,605	35,685
Total Assets	109,160	105,694	91,588	84,397	82,637	87,872	95,377	101,677	98,167	105,645
Current Liabilities	24,239	23,872	27,327	22,220	22,206	18,614	17,204	19,201	18,397	17,868
Long Term Debt	28,745	30,690	25,360	22,736	19,887	21,405	24,303	23,852	18,714	20,564
Total Capital	78,043	72,888	58,821	53,352	52,077	59,034	65,179	71,203	70,209	77,411
Capital Expenditures	4,388	4,448	4,429	3,369	2,615	1,888	1,614	1,283	1,317	1,548
Cash from Operations	19,095	14,109	10,241	13,440	10,922	6,451	10,376	12,538	7,989	11,654
Current Ratio	1.47	1.27	1.02	1.24	1.17	1.33	1.78	1.55	1.77	2.00
% Long Term Debt of Capitalization	36.80	42.10	43.10	42.60	38.20	36.30	37.30	33.50	26.70	26.60
% Net Income of Revenue	24.50	26.80	17.00	25.20	14.70	6.00	9.80	11.20	28.20	10.00
% Return on Assets	11.96	8.80	5.49	7.96	7.41	5.46	6.39	5.42	5.73	5.46
% Return on Equity	34.50	38.80	17.60	21.20	20.20	6.50	9.30	9.50	23.60	8.40

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Merck & Co., Inc.

Sub-Industry Outlook

Our outlook for the pharmaceutical sub-industry is neutral. We expect an improved outlook for the rest of 2023, partly predicated on a return to normalcy, with improved utilization and electives demand. Contributions from new launches with a focus on Alzheimer’s disease, obesity, and oncology will remain key growth drivers as a number of pharmaceutical firms see loss of exclusivities and face increasing competition. We also expect tough comparisons Y/Y due to lower demand for Covid-19 vaccines and treatments. Going forward, we expect Covid-related activity to shift to a seasonal phenomenon, like the flu. While there may be further surges in Covid-related sales, we expect a more annuity-like pattern to such sales.

One concern is the possibility of a recession, which could weigh on electives demand. Yet, key therapeutic areas seen as essential, such as oncology and immunology, are likely to see ongoing demand, in our view, and could be relatively less susceptible to slowdowns.

CFRA thinks health care policy risks are on the rise. Reducing drug prices continues to be a bipartisan issue as both parties aim for more affordable drug prices for Americans. The Inflation Reduction Act (IRA) allows Medicare to directly negotiate prices on the top 10 branded drugs for Medicare Part D coverage, with revised pricing taking effect in January 2026, and later expanding to 20 branded drugs in 2028. The Centers for Medicare & Medicaid Services published the list of the first 10 top-selling prescription drugs selected for negotiations on August 29, 2023, which includes drugs from large U.S. Pharmaceutical companies (BMJ, PFE, LLY, MRK, JNJ). The negotiated maximum fair prices for these drugs will be published by September 1, 2024. We think the IRA may also have implications for companies. For example, if pharmaceutical firms know that new blockbusters may get negotiated down, they may price them higher at launch. The act may also have implications as to where firms decide to invest.

We also note that the FTC appears to be taking a

more active stance on antitrust review, but has not moved so far to block them. We think there may be increased scrutiny for potential pharmaceutical M&A, especially following the FTC’s lawsuit against Amgen’s acquisition of Horizon, which was later settled, and successfully closed.

Global minimum taxation of at least 15% on multinationals with more than \$890 million in annual revenue proposed by the U.S. and backed by 137 countries is scheduled to take effect at the beginning of 2024. We foresee that this would potentially hurt the bottom-line profitability of large multinational pharmaceuticals.

We expect major generic makers to continue to struggle due to lower-cost emerging market competition. We think India-based generic makers will continue to take market share from developed nation firms due to lower production costs. We also expect Chinese pharmaceuticals to shift some of their resources away from generics and focus on more lucrative innovative drugs, which could increase competitive pressures. We also see a rise in biosimilars, which, while more expensive to produce than generics, will likely get a longer period of time before the field gets crowded with other biosimilars in the same category.

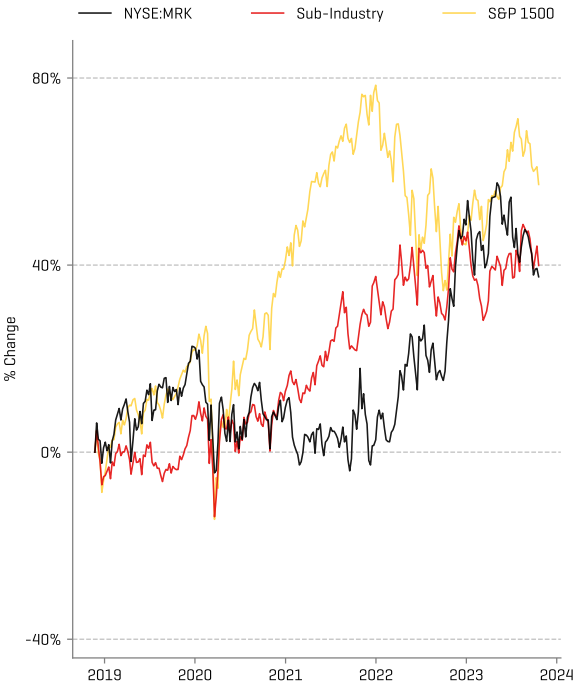
YTD through October 13, the S&P Composite 1500 Pharmaceuticals Index was down 0.8% vs. an 11.6% increase for the S&P Composite 1500 Index. In 2022, the S&P Pharmaceuticals Index returned a gain of 5.5% vs. a 19.1% drop for the S&P Composite 1500.

/ Sel Hardy

Industry Performance

GICS Sector: Health Care
Sub-Industry: Pharmaceuticals

Based on S&P 1500 Indexes
Five-Year market price performance through Oct 21, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Pharmaceuticals Peer Group*: Pharmaceuticals												
Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Merck & Co., Inc.	MRK	NYSE	USD	100.43	254,843.0	-6.4	7.7	36.0	92.46	2.9	7.6	45.0
AstraZeneca PLC	AZN	NasdaqGS	USD	64.42	197,119.0	-3.4	18.2	18.0	N/A	2.2	16.8	35.8
Bristol-Myers Squibb Company	BMJ	NYSE	USD	56.48	117,993.0	-3.7	-20.6	7.0	56.30	4.0	24.7	48.7
GSK plc	GSK	NYSE	USD	35.39	71,445.0	-5.6	13.0	11.0	N/A	3.8	33.2	46.2
Johnson & Johnson	JNJ	NYSE	USD	152.32	366,782.0	-6.1	-7.5	15.0	168.68	3.1	N/A	N/A
Novartis AG	NVS	NYSE	USD	94.64	195,039.0	-8.0	23.7	14.0	N/A	2.4	13.3	22.7
Pfizer Inc.	PFE	NYSE	USD	31.19	176,097.0	-8.2	-27.6	6.0	15.60	5.3	23.1	37.4
Royalty Pharma plc	RPRX	NasdaqGS	USD	28.11	12,619.0	2.5	-31.5	49.0	N/A	2.8	4.7	36.2
Sanofi	SNY	NasdaqGS	USD	52.30	131,147.0	-4.7	32.0	11.0	N/A	2.6	12.1	15.2
Viatis Inc.	VTRS	NasdaqGS	USD	9.31	11,168.0	-5.9	-0.8	3.0	4.66	5.2	9.1	43.5
Zoetis Inc.	ZTS	NYSE	USD	168.04	77,352.0	-7.7	13.4	33.0	128.52	0.9	48.0	57.8

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Merck & Co., Inc.

Analyst Research Notes and other Company News

August 01, 2023

09:48 AM ET... CFRA Keeps Buy Opinion on Shares of Merck & Co., Inc. [MRK 107.34****]:

We cut our target by \$5 to \$124, 14.8x our 2024 EPS, below MRK's 10-year historical forward P/E average. We decrease our 2023 EPS estimate to \$2.96 from \$6.98 and 2024's to \$8.39 from \$8.86. A Q2 loss per share of \$2.06 vs. \$1.85 was \$0.12 below the consensus. Q2 revenues of \$15B (+3% Y/Y) were above estimates by a remarkable \$585M thanks to higher-than-anticipated sales from the key oncology drug Keytruda [42% of total, +19% Y/Y] across all indications and the HPV vaccine Gardasil [16% of total, +47% Y/Y]. In line with expectations, Lagevrio [antiviral to treat Covid-19] sales continued their sharp Y/Y decline [-82% Y/Y] due to lower demand. The 1% Y/Y revenue decline in Animal Health [10% of total sales] was slightly above our expectations as livestock underperformed this quarter [-2% Y/Y]. MRK raised its total revenue guidance range for 2023 to \$58.6B-\$59.6B vs. the earlier \$57.7B-\$8.9B, which we think is achievable. We now expect MRK sales to be roughly flat Y/Y [+0.1%] vs. a 0.4% decline earlier. / Sel Hardy

April 27, 2023

12:36 PM ET... CFRA Lowers View on Shares of Merck & Co., Inc. to Buy from Strong Buy [MRK 112.00****]:

We lower our view on Merck to Buy from Strong Buy and trim our 12-month price target by \$7 to \$129, 14.6x our '24 EPS, below MRK's 10-year historical forward P/E average. We lower our 2023 EPS estimate by \$0.04 to \$6.98 and lower our 2024 EPS by \$0.19 to \$8.86. Q1 EPS of \$1.40 vs. \$2.14 [-35% Y/Y] was \$0.04 above consensus. Q1 revenues of \$14.5B [-9% Y/Y] beat consensus estimates by an eye catching \$680M and were \$887M above our estimate due to stronger sales from key oncology drug Keytruda [40% of total, +20% Y/Y] and HPV vaccine Gardasil [14% of total, +35% Y/Y]. This counterbalanced the global sales decline in the antiviral Lagevrio [-88% Y/Y], used to treat Covid-19. While MRK still expects \$1B from Lagevrio sales for 2023 [unchanged vs. Q4], we find efforts to evaluate the drug for other viral respiratory infections encouraging. We continue to find MRK is attractive at current valuations and think the recently announced Prometheus acquisition should reinforce the firm's oncology pipeline. / Sel Hardy

April 19, 2023

12:30 AM ET... CFRA Keeps Strong Buy Opinion on Shares of Merck & Co. [MRK 115.20****]:

Our 12-month target of \$136, up \$15, reflects a 15x multiple of our revised '24 EPS estimate, near the high end of MRK's historical forward average. MRK has agreed to buy smaller biotech Prometheus Biosciences [RXDX 194 NR] for \$10.8 billion in cash, a 75% premium to RXDX's pre-announcement share price. RXDX is pre-commercial but has promising drug prospects for ulcerative colitis and Crohn's Disease [total addressable market of \$22B as of 2022, and likely to grow to near-\$30B by end of decade]. If approved by RXDX shareholders, the deal adds to MRK's portfolio of immunology drugs. Coupled with MRK's other development news on its partnership with Moderna [MRNA 143 ****] for personalized cancer treatments, we see MRK making progress for end-of-decade partial replacement of revenues that should drop off following loss of exclusivity, notably its Keytruda oncology drug. Updating ahead of Q1 results, we lift our '23 operating EPS estimate by \$0.09 to \$7.02, and '24's by \$0.11 to \$9.05. / Stewart Glickman, CFA

February 02, 2023

06:25 PM ET... CFRA Keeps Strong Buy Opinion on Shares of Merck & Co., Inc. [MRK 103.46****]:

Our 12-month target price of \$121, up \$5, reflects a 13.5x multiple of projected '24 EPS, slightly above MRK's historical forward average, but merited, in our view, by an improving pipeline. We cut our '23 EPS estimate by \$0.79 to \$6.93 and start '24's at \$8.94. Q4 EPS of \$1.62 vs. \$1.80 beat consensus by \$0.08. Q4 revenues of \$13.8B were up 2% Y/Y, but would have risen 8% absent adverse foreign exchange. We think MRK's ongoing partnership with Moderna [MRNA 176 ****], harnessing MRK's Keytruda drug with mRNA technology, is a possible game-changer in cancer treatment, although it remains early days, with Phase III trials beginning in '23. Meanwhile, Keytruda's approvals for more indications enabled this drug's revenues to grow by 26% Y/Y, and it now represents more than one-third of total revenues. Other drugs that we think should see rising growth [above MRK's core revenue range of 7%-10% for '23] are Gardasil [HPV vaccine] and Lynparza [a cancer inhibitor]. / Stewart Glickman, CFA

October 27, 2022

02:39 PM ET... CFRA Keeps Strong Buy Opinion on Shares of Merck & Co. [MRK 101.68****]:

Our 12-month target price of \$116, raised \$15, reflects a 15x multiple applied to projected '23 EPS. The applied multiple is above MRK's historical forward average, which we think is reasonable given an improving pipeline. We lift our '22 EPS estimate by \$0.12 to \$7.47, and similarly '23's by \$0.22 to \$7.72. Q3 EPS of \$1.85, vs. \$1.75, beat the consensus view by \$0.14. We see strength in MRK's cardiology and oncology portfolios, and the possibility of extending the use of Keytruda and Lynparza for a wider set of indications in oncology is a plus. Not including MRK's Lagevrio treatment for Covid, revenues rose 10% [14% before the negative impact of forex]. Keytruda sales of \$5.4B, ex-forex, rose 26% year over year, while Gardasil sales of \$2.3B rose 20%. We like MRK's portfolio of up-and-coming drug candidates, including the Stellar Phase III trials for hypertension. Shares yield 2.8%. / Stewart Glickman, CFA

September 08, 2022

09:08 AM ET... CFRA Adds Shares of Merck & Co. to its Women's U.S. Participation ESG Portfolio [MRK 86.87****]:

We add shares of this leading global drugmaker to our U.S. Women's Participation ESG portfolio, replacing shares of Netflix [NFLX 229 **] following the downgrade of NFLX shares to Sell. We view positively MRK's decision to spin-off its older, slower-growing businesses into a separate entity, Organon [OGN 29 ***], and see this move aiding margins, evidenced by MRK's gross margin guidance of 74%-74.5% for 2022. We also see MRK benefiting in the near term from continued demand for Covid-19 related products, while longer term prospects are aided by MRK's strong and diversified product pipeline. Our 12-month target price on MRK shares reflects a 13.5x multiple applied to projected 2023 EPS of \$7.50, in line with MRK's recent historical forward average. We also applaud MRK's gender equality actions, and note MRK has a wide array of programs aimed at closing the corporate leadership gender gap. / Catherine Seifert

July 29, 2022

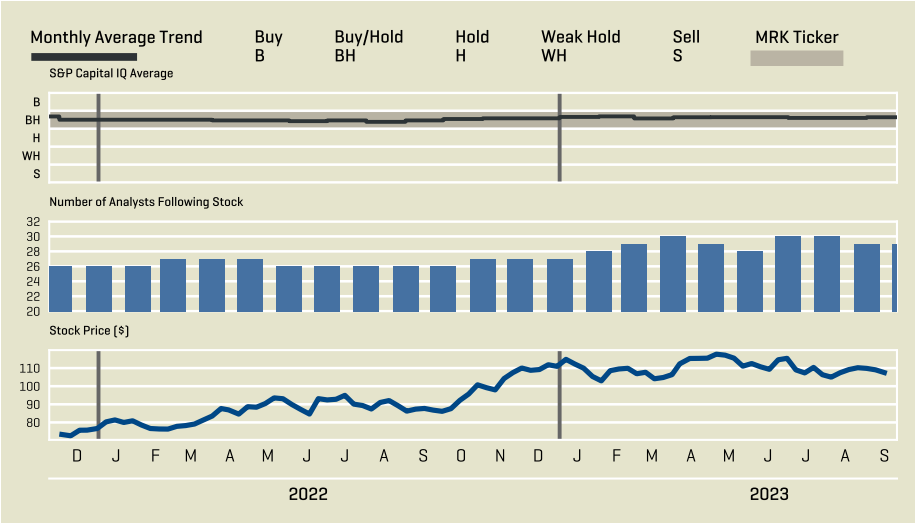
01:26 AM ET... CFRA Keeps Strong Buy Opinion on Shares of Merck & Co. [MRK 89.94****]:

Our 12-month target price of \$101, raised \$1, reflects a 13.5x multiple applied to projected '23 EPS, in line with MRK's recent historical forward average. We lift our '22 EPS estimate by \$0.01 to \$7.35 and '23's by \$0.10 to \$7.50. Q2 EPS of \$1.87 vs. \$1.31, beat the consensus view by \$0.16. Revenues of \$14.6 billion [which includes Lagevrio] rose 28% year-over-year. Ex-Lagevrio sales [\$1.2B], revenue growth was a still-strong 18%. Keytruda remains a key cornerstone for MRK, with revenues of \$5.3 billion, up 30%, and is now approved for six different indications in earlier-stage cancers. MRK is now guiding to '22 revenues in a range of \$57.5B - \$58.5B [13% - 14% core growth, ex-Lagevrio and not including forex impacts]. We see MRK continuing to benefit short-term from demand for Covid-19-related diagnoses, and longer-term, from its pipeline of a broad set of pipeline candidates in different areas, particularly in oncology. / Stewart Glickman, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Merck & Co., Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	14	48	14	14
Buy/Hold	5	17	5	6
Hold	10	34	10	9
Weak hold	0	0	0	1
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	29	100	29	30

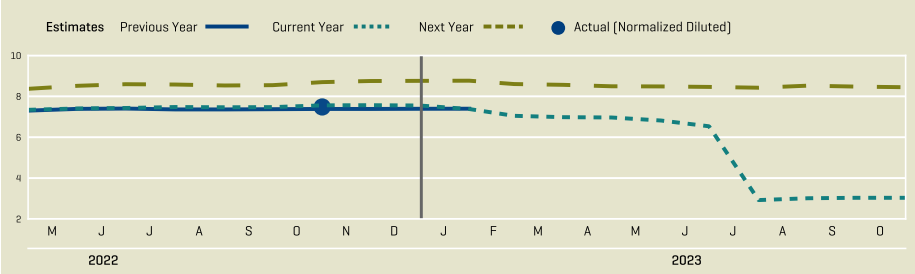
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that MRK will earn USD 3.04. For fiscal year 2024, analysts estimate that MRK's earnings per share will grow by 178.26% to USD 8.45.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	8.45	9.11	7.40	25	11.88
2023	3.04	3.19	2.96	25	33.07
2024 vs. 2023	▲ 178%	▲ 186%	▲ 150%	N/A%	▼ -64%
Q3'24	2.22	2.37	2.09	4	45.33
Q3'23	1.95	2.08	1.79	21	51.56
Q3'24 vs. Q3'23	▲ 14%	▲ 14%	▲ 17%	▼ -81%	▼ -12%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Merck & Co., Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Merck & Co., Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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